

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: July 29, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER REQUIRING PRODUCTION OF DISCOVERY

At the behest of the parties, a letter of request was sent to Switzerland to ensure that discovery in this proceeding did not contravene Swiss legal requirements. On July 15, 2022, Complainant MCS Industries, Inc. (“MCS Industries”) and Respondent MSC Mediterranean Shipping Company SA (“MSC Mediterranean Shipping”) filed a joint status report stating that the letter of request was denied by the Swiss court on the ground that the proceeding is administrative and therefore does not fall within the scope of application of the 1970 Hague Convention on the Taking of Evidence Abroad in Civil or Commercial Matters.

In the joint status report, Complainant asserts that the Department of State should be contacted to request assistance to obtain discovery and Respondent asserts that a new letter of request should be submitted to the Swiss Federal Office of Justice. July 15, 2022, Joint Status Report. However, the Swiss authorities, who are in the best position to determine whether their involvement is needed, have indicated that the requested discovery is outside the scope of the Hague Convention and that their intervention is not necessary. Other courts have come to a similar conclusion.

The party seeking to pursue discovery through the Hague Evidence Convention bears the burden of demonstrating that the procedure it seeks to use is necessary and appropriate. *Luminati Networks v. Code200*, 2021 U.S. Dist. LEXIS 128634, at *10 (E.D. Tex. 2021). A party seeking an order to apply Hague Convention procedures in lieu of the procedures set forth in the Federal Rules of Civil Procedure must demonstrate that a specific foreign law “actually bars the production or testimony at issue.” *Alfadda v. Fenn*, 149 F.R.D. 28, 34 (S.D.N.Y. 1993). “In order to meet that burden, the party resisting discovery must provide the Court with information of sufficient particularity and specificity to allow the Court to determine whether the discovery sought is indeed prohibited by foreign law.” *Id.* The Supreme Court has held “that the Hague Convention did not deprive the District Court of the jurisdiction it otherwise possessed to order a foreign national party before it to produce evidence physically located within a signatory nation.”

Societe Nationale Industrielle Aerospatiale v. United States Dist. Ct. for S. Dist., 482 U.S. 522, 539-40 (1987).

Here, Respondent asserts that Article 271 of the Swiss Criminal Code (“SCC”) blocks the production of the documents at issue. Jan. 10, 2022, Joint Status Report; February 25, 2022, Respondent’s Notice and Update; April 4, 2022, Joint Status Report; July 15, 2022, Joint Status Report. Respondent’s Swiss counsel, in their February 25, 2022 memorandum, assert that Swiss authorities disagree with the Supreme Court’s finding that the Hague procedures are optional; discusses Article 271 to conclude that to “avoid any risk of violating Article 271 SCC, the Swiss party requested to provide evidence must use Swiss-approved procedures before producing documents located in Switzerland to a foreign authority;” and opines that a letter of request under the Hague Convention is the most appropriate way to obtain the discovery. February 25, 2022, Memorandum on Swiss Law at 4-5.

The Court’s ultimate task “is not to definitively determine what Swiss law is, but rather to decide whether the risk of prosecution under Article 271 is so great” as to warrant a protective order. *Microsoft Corp. v. Weidmann Elec. Tech., Inc.*, 2016 U.S. Dist. LEXIS 170325, *34 n.14 (D. Vt. 2016). In *EFG Bank AG v. AXA Equitable Life Ins. Co.*, the federal district court denied a protective order for EFG documents located in Switzerland, finding that EFG failed “to demonstrate with sufficient particularity and specificity that the discovery sought is prohibited by Swiss law,” specifically Article 271. 2018 U.S. Dist. LEXIS 67521, *4-5 (S.D.N.Y. 2018). The court cited a number of Swiss cases that found that Article 271 did not apply where there was no threat of criminal sanction.

Significantly, however, decisions of the Swiss Federal Department of Justice and Police (“FDJP”) — an administrative, non-judicial body — indicate that Swiss law does not preclude the *voluntary* production of documents by a private party and that “voluntary” is defined broadly to include the production of discovery so long as the party faces only procedural consequences rather than criminal sanctions for its failure to produce.

EFG Bank, 2018 U.S. Dist. LEXIS 67521, *5 (emphasis in original). The court noted:

Conspicuously, EFG fails to identify a single case in which a party was found to have violated Article 271 by disclosing its own documents absent a court order threatening criminal sanctions. That is presumably because no such case exists. Indeed, EFG’s own expert on Swiss law concedes that no court has held that production by a party in the circumstances presented here violates Article 271.

Id., at *7-8 (footnote omitted). Similarly, another district court recently declined to pursue discovery under the Hague Convention or to issue a letter of request, finding that “although Article 271 might be implicated if the responding party was threatened with criminal sanctions for failure to comply with a discovery order, the statute does not preclude voluntary disclosure in compliance with a civil discovery order if the consequence for noncompliance is procedural only.” *Belparts Grp., N.V. v. Belimo Automation AG*, 2022 U.S. Dist. LEXIS 75450, at *15 (D. Ct. 2022).

In Respondent's Swiss counsel's April 4, 2022, Second Memorandum on Swiss Law, they acknowledge that: "It is true that in practice, there are not many prosecutions based on Article 271. This is mainly because it is a norm of behavior." April 4, 2022, Memorandum on Swiss Law at 4. The memorandum further asserts that the four-year old *EFG Bank* case "does not and cannot capture more recent evolution of the case law that clearly supports a strengthening of the sensitivity to Article 271 violations." *Id.* Moreover, Respondent's Swiss counsel state that there was a criminal prosecution of a Swiss asset manager for providing data to American prosecutors on American clients of the asset manager, concluding that the Swiss Supreme Court "specifically noted that the collection and transmission on Swiss territory of evidence that falls within the scope of international judiciary assistance is a breach of Article 271." *Id.* (emphasis added).

Commission Rule 150(b) outlines the procedural consequences of failing to provide discovery in Commission proceedings:

(b) Failure to comply with order compelling disclosures or discovery. If a party or a party's officer or authorized representative fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just. A motion must include a certification that the moving party has conferred in good faith or attempted to confer with the disobedient party in an effort to obtain compliance without the necessity of a motion. An order of the presiding officer may:

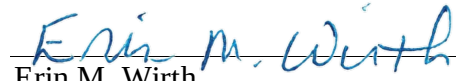
- (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;
- (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or
- (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

46 C.F.R. 502.150(b).

This proceeding is very different from a non-party providing Swiss banking documents to American prosecutors building a potential criminal case. This proceeding is not a criminal prosecution and the Commission cannot impose criminal penalties. The discovery sought is in relation to shipments from specific ports in China and Indonesia to the United States over a limited timeframe. Evidence is sought by a private party, Complainant MCS Industries, from a private party, Respondent MSC Mediterranean Shipping. Because MSC Mediterranean Shipping is a party providing its own documents, it has been able to negotiate an appropriate protective order. Moreover, the penalty for non-production of discovery is not criminal. Most critically, the Swiss authorities have reviewed the request and determined that it is outside the scope of the Hague Evidence Convention. Therefore, MSC Mediterranean Shipping has not established that any additional actions need to be taken under the Hague convention.

Respondent MSC Mediterranean Shipping is alleged to be one of the largest container lines in the world. It has voluntarily chosen to conduct business in United States ports and is regulated by the Federal Maritime Commission. Respondent has opposed providing relevant discovery which it was ordered to produce in the order granting motion to compel. It has delayed the proceeding by insisting that Swiss law prohibits discovery disclosure. But, parties appearing before the Commission are entitled to relevant evidence needed to adjudicate the proceeding. Failure to provide discovery may result in procedural sanctions, from an inference that the discovery would have been adverse to Respondent's interests to a decision on default. See *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, Docket 11-12, 2014 FMC LEXIS 36, at *14-18 (Order Affirming Dismissal of Complaint for Complainant's failure to provide discovery) (FMC Nov. 20, 2014); *Jamteck Int'l Shipping, Inc. - Possible Violations of the Comm'n's Regulations at 46 C.F.R. Part 515*, Docket No. 07-09, 2009 FMC LEXIS 42, at *6-7 (ALJ July 27, 2009) (Admin. final on August 31, 2009) (referencing order that an inference adverse to respondents be drawn as a consequence of respondents' failure to respond to discovery).

For the reasons stated above, it is hereby **ORDERED** that MSC Mediterranean Shipping's request to resubmit a request to Swiss authorities for assistance with discovery is hereby **DENIED**. MSC Mediterranean Shipping is hereby **ORDERED** to provide any outstanding discovery by August 29, 2022, including the discovery ordered to be produced in the Order Granting Motion to Compel. The parties shall file a joint status report by August 15, 2022, with a proposed schedule to complete discovery and brief this proceeding expeditiously.


Erin M. Wirth
Chief Administrative Law Judge